

The Purchasing Managers Index and the Conference Board Index of Business Confidence, which is a quarterly survey of 500 to 600 U.S. chief executives, reflect the outlook of a group of business people more sensitive to advance warnings of change than the average consumer. Study Figures 13-29 and 13-30 and notice that these measures turn earlier and more sharply than the Consumer Confidence index. They turn up dramatically right at the bottom of recessions and peak way early in recoveries. These business people seem, to a degree, to factor into their thinking the cyclical nature of the ups and downs of business rather than simply extrapolating current trends. It is noteworthy, therefore, that in the recent recovery, these indexes have not only failed to exceed their previous extremes, but have begun trending lower in recent months, ahead of the crowd. Despite this trend, however, the indexes are still on the side of optimism. This group, the only informed one, is anticipating a slowdown, while the public and most other professionals, who extrapolate linearly and reflect the mood of the moment, see only blue sky ahead.

To summarize the psychological situation, economists, government, the public and most businessmen all express optimism, from moderate to unprecedented, toward the long term trend of the

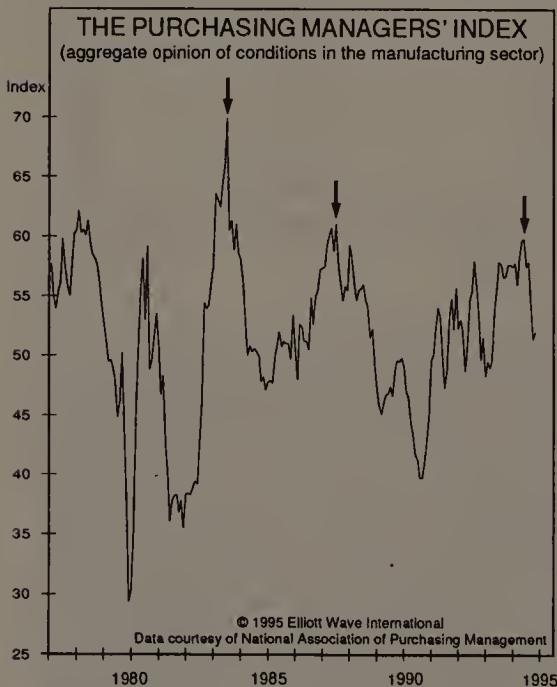


Figure 13-29

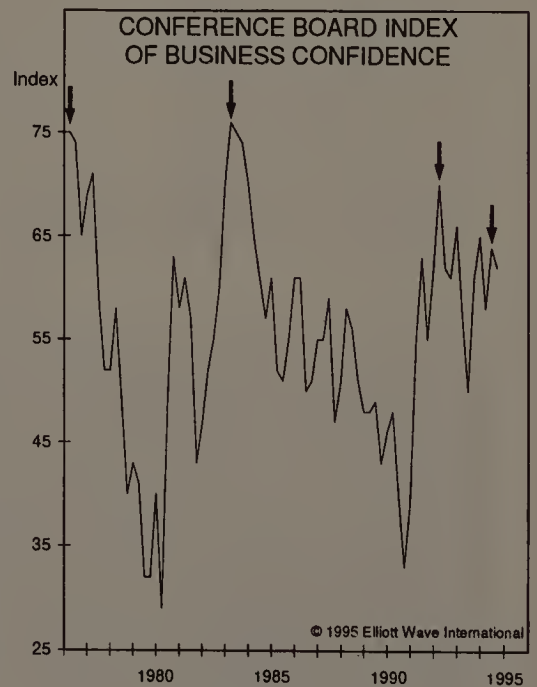


Figure 13-30